

HRMS

Human Resource Management System

Proof of Concept (POC) Document

Time Reporting, Employee Data Ownership & Rewards Model

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1. Executive Summary

This document presents the Proof of Concept (POC) for an enhanced Human Resource Management System (HRMS). The purpose of this POC is to demonstrate how the proposed system addresses the four core enhancement areas defined in the requirements:

- Base Professional Value (BPV) Engine — quantifying employee value through qualifications, experience, skills, and certifications
- Outcome-Based Time Reporting — replacing hours-based measurement with deliverable and value-based reporting
- Employee Data Ownership Model — ensuring every organisational asset is tracked, owned, and accountable
- Long-Term Employee Rewards Model — tying incentives to the value employees create over time

The proposed HRMS moves beyond conventional timesheet-driven workforce management. It recognises employee capability, knowledge, accountability, and long-term value creation as the primary drivers of compensation and performance.

KEY POINT

The system is designed as a metadata-driven platform. All configurable parameters — qualification weights, experience scoring tables, organisation tier classifications, skill proficiency levels, and reward calculation rules — are managed through the administration interface, not hard-coded in software. Business rules can be adjusted by HR and Finance administrators at any time without code changes.

2. Problem Statement

Traditional HRMS systems are built around a single premise: that productivity is proportional to hours worked. Under this model, employees are expected to log 8 or 8.5 hours daily regardless of what was actually delivered. This creates significant problems:

2.1 Hours-Based Model Fails Skilled Professionals

- A senior professional who completes a task in 2 hours at high quality receives the same recognition as a junior employee who takes 6 hours on the same task.
- The system incentivises prolonged duration rather than efficient, high-quality delivery.
- Highly skilled employees are effectively penalised for their expertise and speed.

2.2 No Recognition for Asset Creation

- Employees who create code, documentation, automation, designs, data models, or reports receive no long-term recognition for those contributions.
- When an employee leaves, ownership and accountability for created assets are lost.
- There is no mechanism to reward employees whose work continues to generate business value after project completion.

2.3 No Outcome-Based Measurement

- Current systems measure time logged, not deliverables completed.
- There is no structured way to record assigned work, delivered work, quality, and completion status independently from time.
- Efficiency — completing high-quality work in less time — is not measured or rewarded.

IMPORTANT

Under the current model, an experienced professional who delivers superior work efficiently is evaluated the same way as someone who takes three times as long. This directly undermines the organisation's ability to attract, retain, and appropriately compensate top talent.

3. Proposed Solution

The enhanced HRMS proposes four tightly integrated modules that together replace the hours-based model with a value-based workforce management approach.

3.1 Module 1 — Base Professional Value (BPV) Engine

Every employee shall have a Base Professional Value (BPV) — a calculated score representing their professional market value independent of daily time reporting. BPV is derived from four configurable components:

Component A — Academic Qualifications

Each qualification level carries a configurable score contribution. The system shall support:

Qualification Level	Example
12th Grade / Higher Secondary	Standard secondary completion
Diploma	Technical or vocational diploma
Undergraduate Degree (3-Year)	BA, B.Com, B.Sc
Undergraduate Degree (4-Year)	B.Tech, B.E., B.Arch
Master's Degree	M.Sc, M.A., M.Com

Qualification Level	Example
Double Master's Degree	Two completed master's programmes
MBA	Master of Business Administration
M.Tech / MS	Technical or science master's
PhD	Doctoral degree
Post-Doctoral Fellowship	Post-PhD research programme

NOTE

Score values per qualification level are configurable by HR administrators. The table defines supported qualification types — actual point values are set through the administration interface, not in code.

Component B — Professional Experience

Experience is weighted across multiple dimensions:

- Total years of professional experience
- Domain experience — specialised knowledge within a specific industry or function
- Enterprise experience — exposure to large-scale, complex organisational environments
- Global organisation experience — cross-border or multinational assignments
- Leadership experience — people management, team leadership, or programme ownership

Component C — Organisation Profile

The type of organisation where experience was gained contributes additional BPV weight:

- Startup organisations
- Mid-size organisations
- Enterprise organisations
- Fortune 500 companies
- Government organisations
- Research organisations

NOTE

Organisation tier classification and score weights are fully configurable. HR administrators define which tiers exist and what weight each carries.

Component D — Technical Skills

The employee profile shall maintain a structured skills registry covering: technologies, programming languages, platforms, frameworks, cloud certifications, tools, methodologies,

and industry certifications. Each skill is recorded with a proficiency level that directly influences the BPV score.

BPV Formula

BPV Formula	Education Score + Experience Score + Organisation Score + Technical Skill Score + Certification Score
Score Range	0 to 100 (normalised)
Recalculation	Triggered automatically whenever employee profile data is updated
Weight Management	All component weights configurable by HR administrators
Configuration Type	Metadata-driven — no code changes required to adjust weights or scoring rules

KEY POINT

The BPV is a calculated, data-driven score based entirely on verifiable professional facts. It is not a subjective manager rating. It forms Component 1 of the employee's salary and represents the majority of their compensation.

3.2 Module 2 — Outcome-Based Time Reporting

Core Principle

Employees are not required to log 8 or 8.5 hours daily if their assigned work has been completed to the required quality standard. The HRMS records outcomes, not occupancy. Each time entry captures:

- Assigned work — what was given to the employee
- Delivered work — what was actually completed
- Quality of output — assessed against expected standards
- Completion status — whether the deliverable was fully delivered
- Time consumed — recorded for operational reference only

IMPORTANT

Time consumed is a reference field only — used for operational tracking and resource planning. It does not determine performance evaluation or primary compensation.

Permissible Reporting

An employee may report 1, 2, 4, or 6 hours — provided assigned deliverables have been completed to expected quality. Completion of work, not occupancy of time, determines performance.

Salary Structure

Salary Component	Basis	Proportion	Description
Component 1 — BPV	Qualifications, Experience, Skills, Expertise	Majority	Largely independent of daily time reporting. Reflects employee professional value.
Component 2 — Time Value	Operational work tracking	Minority	Variable. Compensates for logged operational time. Not the dominant salary driver.

Efficiency Scoring

	Employee A	Employee B
Experience	15 years	15 years (same)
Task completion	2 hours — high quality	6 hours — same task
Time Value pay	Lower (fewer hours logged)	Higher (more hours logged)
Efficiency Score	Higher	Lower (unless extra time created additional value)
Annual incentive	Higher performance incentive	Lower incentive if additional time did not create proportional value

KEY POINT

Employee A should be rewarded, not penalised, for using expertise to complete work faster.
The Efficiency Score captures this. Annual performance incentives are weighted toward employees who demonstrate consistent high-quality, time-efficient delivery.

3.3 Module 3 — Employee Data Ownership Model

Every asset created by an employee shall be recorded in the HRMS with structured ownership metadata. This creates permanent accountability and traceability for all work products, including: source code, documents, designs, automation scripts, configuration files, data models, reports, and dashboards.

Ownership Metadata — Required Fields

Field	Description
Creator	Employee who originally created the asset
Contributors	All employees who made significant contributions
Reviewer	Employee(s) who reviewed the asset for quality
Approver	Employee who gave formal approval for use or release
Owner	Current accountable owner (may differ from creator after transitions)

Field	Description
Creation Date	Date the asset was first created
Version History	Full record of changes and contributors per version

Documentation Requirement

Every registered asset must include: documentation, implementation guide, maintenance instructions, dependencies, usage instructions, and version history.

NOTE

Documentation compliance is tracked by the HRMS. Assets with incomplete documentation are flagged. This ensures business continuity regardless of employee transitions.

Accountability on Employee Exit

If an employee leaves, operational ownership of their assets transfers to the organisation. Historical authorship and accountability remain permanently recorded and cannot be altered.

3.4 Module 4 — Long-Term Employee Rewards and Royalty Model

Employees may receive long-term incentives tied to the measurable success of assets they create. Rewards may be linked to: revenue generated, operational cost savings, productivity improvements, customer adoption, intellectual property value, and strategic business impact.

Reward Formats

Supported formats include: annual bonus, profit-sharing, royalty payment, innovation incentive, and long-term recognition award. All reward types and calculation rules are configurable by HR and Finance administrators through the administration interface.

NOTE

No reward calculation is hard-coded — all rules are metadata-driven and adjustable by authorised HR and Finance personnel without requiring developer involvement.

Beneficiary Nomination

Employees shall be able to nominate beneficiaries for eligible long-term rewards. Eligible beneficiaries include: spouse or children, family members or legal heirs, charitable organisations, NGOs, educational institutions, orphanages, or trusts.

4. Scope and Timeline

4.1 What This POC Demonstrates

The POC will validate the core capabilities defined in the requirements before full system development begins:

Requirement Area	POC Demonstration
BPV Engine	Configurable qualification, experience, organisation, and skill scoring producing a 0–100 BPV score per employee
Time Reporting	Outcome-based entries capturing assigned work, delivered work, quality, completion status, and reference time
Salary Components	Salary split into BPV component and Time Value component, independently tracked
Efficiency Scoring	System calculates an efficiency score comparing time consumed vs. task complexity and output quality
Data Ownership Registry	Asset records with creator, contributor, reviewer, approver, owner, and documentation status
Reward Management	Configurable reward records linked to assets and measured business impact; beneficiary nomination
Admin Configuration	HR and Finance administrators adjust BPV weights, qualification scores, org tiers, and reward rules — no code changes needed

4.2 Development Timeline

Following POC sign-off, full development proceeds in sequential modules:

Module	Deliverables
Core HRMS	Employee directory, full profile management, qualification and certification tracking, skills matrix, attendance
Compensation	Salary component calculation, efficiency scoring, performance incentive rules, payroll integration
Rewards & Royalty	Royalty and incentive calculation engine, beneficiary nomination, long-term reward tracking, Finance dashboard
Analytics	Workforce analytics, productivity reporting, compliance dashboards, data export

4.3 Out of Scope

The following are not in scope for the POC and will be addressed in subsequent development modules:

- Payroll processing and payslip generation
- Integration with external accounting or ERP systems

- Leave and attendance management
- Performance appraisal workflows
- Mobile application
- Email or notification automation

NOTE

Out-of-scope items are not excluded permanently — they are planned for later development modules. The POC focuses on validating the four core enhancement areas.

5. Success Criteria

The POC shall be considered successful when all of the following are demonstrable in the live system:

#	Success Criterion	Measurable Target
1	BPV calculation works end-to-end	Employee profile changes trigger automatic BPV recalculation; score reflects configured weights
2	Qualification scoring is configurable	HR admin changes qualification score values; BPV updates without any code change
3	Experience scoring is configurable	Years, domain, enterprise, global, and leadership experience each carry adjustable weights
4	Organisation tier scoring works	Different org types are scored differently per admin configuration
5	Technical skill scoring is live	Skill proficiency level affects BPV score; adding or updating skills changes the score
6	Outcome-based time entry works	Time entry captures assigned work, delivered work, quality, completion status, and reference time
7	Salary components are tracked separately	BPV component and Time Value component are stored and displayed as distinct salary fields
8	Efficiency score is calculated	System produces an efficiency score based on output quality vs. time consumed
9	Asset ownership records are created	Assets registered with creator, contributors, reviewer, approver, owner, and documentation status
10	Documentation compliance is tracked	Assets missing required documentation fields are flagged in the system
11	Reward records are configurable	HR and Finance define reward types, calculation rules, and link them to assets and impact metrics
12	Beneficiary nomination works	Employees can nominate beneficiaries for eligible long-term rewards
13	Admin config requires no code change	All weights, scores, tiers, and rules are adjustable through the admin interface only

6. Resource Requirements

6.1 Team

Role	Effort	Responsibilities
Full-Stack Developer	1 x Full-time	Frontend and backend development, BPV engine implementation, data ownership module
Backend / DB Specialist	1 x Full-time	Database schema, BPV scoring logic, reward calculation engine, admin configuration APIs
Business Analyst	1 x Part-time	Requirements validation, configuration rule definition, acceptance criteria verification
QA Engineer	1 x Part-time	BPV accuracy testing, edge case validation, configuration change testing
Project Manager	1 x Part-time	Sprint planning, stakeholder communication, timeline management

6.2 Technology Requirements

Frontend Framework	Modern web framework supporting dynamic admin configuration interfaces and real-time score display
Backend API	RESTful API layer with role-based access control for HR Admin and Finance Admin roles
Database	Relational database supporting versioned configuration tables, audit logs, and soft deletes
Configuration Layer	Metadata-driven configuration engine — all business rules stored as database records, not code
Hosting	Deployable on any standard cloud or on-premise infrastructure

6.3 Infrastructure

- Development: Standard development machines with shared database access
- Production: Cloud-hosted environment with appropriate backup, security controls, and access management

7. Next Steps & Roadmap

Following stakeholder review and approval of this document, the recommended steps are:

7.1 Immediate Next Steps

1. Stakeholder sign-off on this POC document and the four enhancement requirements.
2. Configuration workshop — HR and Finance teams define the initial BPV weights, qualification scores, organisation tiers, and reward rules to be used.
3. Development kickoff — engineering team builds and demonstrates the system against the 13 success criteria listed in Section 5.
4. UAT — HR and Finance administrators validate the configuration tools with real organisational data.
5. Feedback and refinement — adjustments based on UAT findings before core HRMS development begins.

7.2 Full Development Roadmap

Module	Key Deliverables
Core HRMS	Employee directory, full profile, qualifications, certifications, skills matrix, attendance
Compensation	Salary component tracking, efficiency scoring, performance incentives, payroll integration
Rewards & Royalty	Royalty engine, beneficiary nomination, long-term reward tracking, Finance admin dashboard
Analytics	Productivity analytics, workforce planning, compliance dashboards, exports

7.3 Why Metadata-Driven Design Is Central to This Roadmap

The requirements explicitly state that BPV weights, qualification scores, organisation tiers, reward calculation rules, and time reporting parameters must all be configurable by HR and Finance administrators — not by developers. This is only achievable if the system is built as a metadata-driven platform from day one:

- Business rules can change between development modules without touching application code.
- HR administrators control qualification weights without raising development tickets.
- Finance administrators define reward calculation rules directly in the system.
- The BPV formula can be rebalanced by an admin whenever organisational priorities shift.
- New qualification types, organisation tiers, or skill categories are added through the admin interface.

KEY POINT

Metadata-driven architecture is not a technical preference — it is a direct requirement from the specification. The system must allow HR and Finance administrators to configure

all scoring and reward rules without developer involvement.

Appendix — HRMS Functional Enhancement Summary

All functional capabilities listed below are required in the enhanced HRMS as stated in the requirements document:

Category	Required Capability
BPV Engine	Configurable qualification, experience, technical skill, and organisation scoring producing a BPV score per employee
Time Reporting	Outcome-based task reporting; time logged as secondary reference only
Analytics	Productivity analytics and efficiency scoring
Data Ownership	Asset registry, ownership tracking, contribution history, documentation compliance monitoring
Rewards	Long-term reward management, beneficiary nomination, royalty and incentive calculation
Administration	HR and Finance administration dashboard for all configurable rules, weights, and settings

NOTE

This appendix summarises the HRMS Functional Enhancements section from the requirements document. All items listed are required — none are optional enhancements.